production. The management had also just concluded an agreement with Daimler-Benz to produce commercial vehicles for the export market. Negotiations with affiliates of General Motors for a possible tie-up were in progress as well. These had to be put on the ‘backburner’ with all the energy and efforts being consumed by the workers’ unrest.

There was also another lurking danger for the management. Many ancillary suppliers were surviving exclusively on the orders from TELCO. Together, they had supplied items worth Rs 61 crore to the vehicle manufacturer in the previous year. With production halved at best, many were holding huge inventories, adversely affecting their cash flow.

Strapped for funds, many of these units had retrenched workers. It was a fertile ground for Nair to exploit, as the wages in these units were far lower than what the Tatas were paying. The trade union leader had already made his first move and drawn up a charter of demands that included a wage rise of Rs 2,800 for one of the units whose workers had approached him. The danger of the strike spilling over into these units was real.

Taking Charge

With the odds steadily piling against the group, the management went on the offensive. Ratan took charge of the counter operations personally and adopted a three-pronged strategy. The first aimed at building better relations with the workforce. The second was to simultaneously appeal to the community about the good intentions of the group and its willingness to reach an early and constructive settlement with the workers. The third was to portray Nair as an unreasonable trade union leader who was given to violence and intimidation for self-promotion. To this end, the management began briefing the press at frequent intervals. It resulted in public opinion slowly tilting away from Nair. The strategy to win hearts and minds had begun to work.

The first part of the strategy bore fruit too. A rival union called the TELCO Employees Union (TEU) was formed in February 1989. It was willing to enter into negotiations and on 19 September, the management signed an agreement with the TEU on a wage hike. Simultaneously, Ratan also hardened his stance and ‘threatened to close down the Telco plant’ and refused to ‘negotiate with Mr. Nair’.